One week before the launch, a representative from company headquarters trains every retail employee on how to appropriately apply shipping costs to a sale. Managers are also present to make sure this process is carried out correctly with customers.

HOW IS STRATEGY "MADE"

After obtaining a basic understanding of what "strategy" is, why is it important, as well as vision, mission and values we can now think about how strategy is made. When strategizing for competitive advantage, managers rely on the following approaches that can complement one another

1) Strategic Planning
2) Scenario Planning and
3) Strategy as Planned Emergencies

Top-down strategic (long-range) planning works reasonably well when the environment does not change much.

In scenario planning, managers envision different what-if scenarios and prepare contingency plans that can be called upon when necessary.

Strategic initiatives can be the result of top-down planning by executions and can emerge through a bottom-up process from deep within the organization.

A firm's realized strategy is generally a combination of its top-down intended strategy and bottom-up emergent strategy resulting in planned emergency.

HOW TO PUT STRATEGY INTO ACTION

To put a firm's strategy into action a business model must

a) Translate the firm's strategy into competitive tactics and initiates and

b) Implement the strategy through effective structures, processes, culture and procedures.